

Security Selection

There are literally hundreds of academic papers written on “anomalies,” or strategies that purport to beat the market on a risk-adjusted basis. Anomaly chasing has become so popular that academics have written papers making fun of other academics. John Cochrane calls the literature on anomalies a “zoo of new factors.”⁷ For example, Harvey Campbell, Yan Liu, and Heqing Zhu examine 316 papers that study seemingly anomalous patterns published in a selection of academic journals. The authors highlight that there is a bias toward publishing findings that have strong statistical significance, but disregard (1) that some of these may be empirical tests unrelated to any theory and thus possibly data mined, and (2) in finance, unlike in science, no one publishes replication studies, and so there is little verification of discovered factors. Campbell et al. argue “that most claimed research findings in financial economics are likely false.”⁸ The authors also find that there are some anomalies that still appear anomalous, even after accounting for data-snooping. Of all the anomalies documented in academic literature, the two most durable strategies identified are value and momentum strategies.

Value Strategies

The value investing philosophy, established by Benjamin Graham in the 1930s, is based on buying securities at prices that are low relative to their intrinsic value. While Graham intuitively grasped the effectiveness of buying stocks at low prices, academics began to explore the concept with rigorous analysis, beginning in the 1970s, with some noting that portfolios constructed with firms with high earnings-to-price or book-to-market ratios, high dividend yields, or a high ratio of cash flow to price seemed to earn abnormal returns above what was expected. In the 1990s, Eugene Fama and Kenneth French famously identified the *value premium*, and demonstrated that value stocks have delivered higher returns with lower volatility over long periods of time.⁹ A growing body of work further refined the *value anomaly*, which today is among most firmly established effects in financial markets. More recently, academics have begun to explore how the value anomaly can be applied to additional asset classes beyond equities. There are a number of academic papers and studies describing how investors can apply the value investing approach in new and creative ways.¹⁰